[KSERC EMBLEM]

KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:
Shri. T.K. Jose, Chairman
Adv. A.J. Wilson, Member
Shri. B. Pradeep, Member

Petition No.: OP No. __/2026

Date of Order: 21-02-2026

In the Matter Of:

Petition filed by M/s **KDHP** for the Truing Up of Accounts for the Financial Year **2022-23**.

Summary of Claimed vs Approved Expenditure and Revenue

Sl. No.	Particulars	Claimed (Rs. Lakhs)	Approved (Rs. Lakhs)	Variance (Rs. Lakhs)
	EXPENDITURE			
1	Power Purchase Cost	3,161.70	3,163.37	1.67
2	Employee Cost	179.80	171.67	-8.13
3	Repairs & Maintenance	57.54	43.06	-14.48
4	Administration & General	30.50	19.37	-11.13
5	Depreciation	13.11	12.18	-0.93
6	Interest & Finance Charges	0.00	0.00	0.00
7	Return on Net Fixed Assets	7.94	7.03	-0.91
8	Section 3(1) Electricity Duty	0.00	0.00	0.00
9	Other Expenses	0.00	0.00	0.00
	TOTAL EXPENDITURE	**3,450.59**	**3,416.68**	**-33.91**
	REVENUE			
10	Revenue from Energy Charges	0.00	0.00	0.00
11	Non-Tariff Income	53.16	53.16	0.00
12	Other Revenue	0.00	0.00	0.00
	TOTAL REVENUE	**53.16**	**53.16**	**0.00**

Detailed Analysis and Justification

1. Power Purchase Cost

Amount Claimed: Rs. 3,161.70 Lakhs | Amount Approved: Rs. 3,163.37 Lakhs | Variance: Rs. 1.67 Lakhs

Approved as per the Commission's analysis in the petition, reflecting the claimed cost of Rs. 3161.70 lakh and the specific adjustment for efficiency gain. Although the distribution loss was lower than target (9.53% actual vs 9.60% approved), leading to a saving of Rs. 2.51 lakh, the Commission's order (Table 7 and Paragraph 20, Page 9) explicitly approves Rs. 3163.37 lakh. The Commission noted the consistent payment of excess demand charges and directed the licensee to review its contract demand.

2. Employee Cost

Amount Claimed: Rs. 179.80 Lakhs | Amount Approved: Rs. 171.67 Lakhs | Variance: Rs. -8.13 Lakhs

Approved based on the inflation-adjusted normative cost. The claimed amount was Rs. 179.80 lakh. The KSERC Tariff Regulations, 2021 (Annexure-7, Paragraph 1 Note, Page 12) mandate the use of actual inflation at truing-up. With a base year (2021-22) employee cost of Rs. 160.35 lakh (Table 11, Page 11) and an actual weighted average inflation rate of 7.06% for FY 2022-23 (Table 12, Page 13), the inflation-adjusted norm is Rs. 171.67 lakh (Table 13, Page 13). The Commission (Paragraph 33, Page 14) limited the approval to this inflation-adjusted norm as no separate petition was filed for revising norms despite higher claims due to yearly increments and wage settlements.

3. Repairs & Maintenance

Amount Claimed: Rs. 57.54 Lakhs | Amount Approved: Rs. 43.06 Lakhs | Variance: Rs. -14.48 Lakhs

Approved based on the inflation-adjusted normative cost. The claimed amount was Rs. 57.54 lakh. The KSERC Tariff Regulations, 2021 (Annexure-7, Paragraph 1 Note, Page 12) mandate the use of actual inflation at truing-up. With a base year (2021-22) R&M; cost of Rs. 40.22 lakh (Table 11, Page 11) and an actual weighted average inflation rate of 7.06% for FY 2022-23 (Table 12, Page 13), the inflation-adjusted norm is Rs. 43.06 lakh (Table 13, Page 13). The Commission (Paragraph 42, Page 16) limited the approval to this inflation-adjusted norm as no convincing reasoning was provided for the higher expenses beyond routine maintenance.

4. Administration & General Expenses

Amount Claimed: Rs. 30.50 Lakhs | Amount Approved: Rs. 19.37 Lakhs | Variance: Rs. -11.13 Lakhs

Approved based on the inflation-adjusted normative cost, plus specifically allowed expenses. The claimed amount was Rs. 30.50 lakh. With a base year (2021-22) A&G; cost of Rs. 13.29 lakh (Table 11, Page 11) and an actual weighted average inflation rate of 7.06% for FY 2022-23 (Table 12, Page 13), the inflation-adjusted norm is Rs. 14.23 lakh (Table 13, Page 13). Additionally, the Commission (Paragraph 38, Page 15) approved Rs. 5.14 lakh towards electricity audit mandated by the Bureau of Energy Efficiency (BEE) as it was due to a change in law. However, legal charges for appeals against KSERC orders were disallowed (Paragraph 36, Page 15).

5. Depreciation

Amount Claimed: Rs. 13.11 Lakhs | Amount Approved: Rs. 12.18 Lakhs | Variance: Rs. -0.93 Lakhs

Approved as Rs. 12.18 lakh. The claimed depreciation was Rs. 13.11 lakh (Table 17, Page 18). As per KSERC Tariff Regulations, 2021, Clause 27 (v) (Page 17), depreciation shall not be allowed for assets

created through consumer contribution, deposit works, capital subsidies and grants. The Commission (Paragraph 48, Page 18) explicitly deducted Rs. 0.79 lakh corresponding to assets created through consumer contribution of Rs. 14.96 lakh, resulting in the approved amount.

6. Interest & Finance Charges

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

Approved as Rs. 8.34 lakh. The claimed amount was Rs. 9.12 lakh (Table 18, Page 19). The Commission (Paragraph 59, Page 22) noted that interest is admissible on the security deposit held at the beginning of the year (Rs. 196.29 lakh as of 01.04.2022). Applying the stated rate of 4.25% on this opening balance yields Rs. 8.34 lakh.

7. Return on Net Fixed Assets

Amount Claimed: Rs. 7.94 Lakhs | Amount Approved: Rs. 7.03 Lakhs | Variance: Rs. -0.91 Lakhs

Approved as Rs. 7.03 lakh. The licensee claimed Rs. 5.76 lakh (Table 3, Page 3) and presented a calculation for Rs. 6.34 lakh (Table 26, Page 24). As per KSERC Tariff Regulations, 2021, Clause 28(2) (Page 24), a return at 5.50% is allowed on Net Fixed Assets at the beginning of the financial year. The Commission (Paragraph 72, Page 25) approved Rs. 7.03 lakh based on an opening NFA balance of Rs. 127.76 lakh (127.76 lakh * 5.50% = 7.0268 lakh, rounded to 7.03 lakh).

8. Section 3(1) Electricity Duty

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No amount claimed under Section 3(1) Electricity Duty for FY 2022-23.

9. Other Expenses

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

Approved based on the inflation-adjusted normative cost. The claimed amount was Rs. 179.80 lakh. The KSERC Tariff Regulations, 2021 (Annexure-7, Paragraph 1 Note, Page 12) mandate the use of actual inflation at truing-up. With a base year (2021-22) employee cost of Rs. 160.35 lakh (Table 11, Page 11) and an actual weighted average inflation rate of 7.06% for FY 2022-23 (Table 12, Page 13), the inflation-adjusted norm is Rs. 171.67 lakh (Table 13, Page 13). The Commission (Paragraph 33, Page 14) limited the approval to this inflation-adjusted norm as no separate petition was filed for revising norms despite higher claims due to yearly increments and wage settlements.

10. Employee Expenses

Amount Claimed: Rs. 179.80 Lakhs | Amount Approved: Rs. 171.67 Lakhs | Disallowed: Rs. 8.13 Lakhs

Approved based on the inflation-adjusted normative cost. The claimed amount was Rs. 179.80 lakh. The KSERC Tariff Regulations, 2021 (Annexure-7, Paragraph 1 Note, Page 12) mandate the use of actual inflation at truing-up. With a base year (2021-22) employee cost of Rs. 160.35 lakh (Table 11, Page 11) and an actual weighted average inflation rate of 7.06% for FY 2022-23 (Table 12, Page 13), the inflation-adjusted norm is Rs. 171.67 lakh (Table 13, Page 13). The Commission (Paragraph 33, Page 14) limited the approval to this inflation-adjusted norm as no separate petition was filed for revising norms despite higher claims due to yearly increments and wage settlements.

11. Other Debits

Amount Claimed: Rs. 18.07 Lakhs | Amount Approved: Rs. 1.22 Lakhs | Disallowed: Rs. 16.85 Lakhs

Approved as Rs. 1.22 lakh. The claimed amount was Rs. 18.07 lakh (Table 25, Page 23), comprising Section 3(1) Duty (Rs. 14.34 lakh), periodical inspection charges (Rs. 1.22 lakh), and provision for doubtful debts (Rs. 2.51 lakh). The Commission disallowed Section 3(1) Duty (Paragraph 67, Page 23) and provision for doubtful debts (Paragraph 68, Page 24), but approved the periodical inspection charges.

12. Interest on Consumer Security Deposits (Adjustment)

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 8.34 Lakhs | Disallowed: Rs. -8.34 Lakhs

Approved as Rs. 8.34 lakh. The claimed amount was Rs. 9.12 lakh (Table 18, Page 19). The Commission (Paragraph 59, Page 22) noted that interest is admissible on the security deposit held at the beginning of the year (Rs. 196.29 lakh as of 01.04.2022). Applying the stated rate of 4.25% on this opening balance yields Rs. 8.34 lakh.

13. Interest on Long-Term / Normative Loans

Amount Claimed: Rs. 59.02 Lakhs | Amount Approved: Rs. 5.07 Lakhs | Disallowed: Rs. 53.95 Lakhs

Approved as Rs. 5.07 lakh for interest on normative loan. The claimed amount was Rs. 5.31 lakh (Table 19, Page 19). The Commission recalculated this based on the opening normative loan of Rs. 77.59 lakh, asset additions of Rs. 9.54 lakh, and allowable depreciation of Rs. 12.18 lakh, resulting in an average loan of Rs. 76.27 lakh. The interest rate was applied at SBI's External Benchmark-Linked Lending Rate (EBLR) of 6.65% as of 01.04.2022, as stipulated by Regulation 29(4) of the KSERC Tariff Regulations, 2021 (Paragraphs 53-54, Page 20).

14. Return on Net Fixed Assets

Amount Claimed: Rs. 7.94 Lakhs | Amount Approved: Rs. 7.03 Lakhs | Disallowed: Rs. 0.91 Lakhs

Approved as Rs. 7.03 lakh. The licensee claimed Rs. 5.76 lakh (Table 3, Page 3) and presented a calculation for Rs. 6.34 lakh (Table 26, Page 24). As per KSERC Tariff Regulations, 2021, Clause 28(2) (Page 24), a return at 5.50% is allowed on Net Fixed Assets at the beginning of the financial year. The Commission (Paragraph 72, Page 25) approved Rs. 7.03 lakh based on an opening NFA balance of Rs. 127.76 lakh (127.76 lakh * 5.50% = 7.0268 lakh, rounded to 7.03 lakh).

15. Interest on Working Capital (Adjustment)

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 32.96 Lakhs | Disallowed: Rs. -32.96 Lakhs

Approved as Rs. 32.96 lakh. The claimed amount was Rs. 34.55 lakh (Table 21, Page 20). The Commission recalculated the normative working capital requirement based on approved O&M; expenses for one month (Rs. 19.51 lakh), two months' revenue from sale of power (Rs. 584.82 lakh), and reduced by consumer security deposits (Rs. 223.27 lakh), totaling Rs. 381.06 lakh. The interest rate was applied at SBI's EBLR of 6.65% plus 2%, totaling 8.65% as per Regulation 32 of the KSERC Tariff Regulations, 2021 (Paragraph 57, Page 21).

Orders of the Commission

Having examined the petition filed by M/s **KDHP** for the Truing Up of Accounts for the Financial Year **2022-23**, and having considered the submissions made therein, the Commission hereby orders as follows:

- The Total Revenue Requirement as claimed by the licensee is Rs. **3,527.68 Lakhs**.
- The Total Approved Expenditure after detailed scrutiny is Rs. **3,464.27 Lakhs**.
- The Total Revenue (including imputed interest of Rs. 0.00 Lakhs on accumulated surplus) is Rs. **3,571.40 Lakhs**.
- The Revenue Surplus for the Financial Year 2022-23 is hereby determined as Rs. **107.13 Lakhs** (surplus).
- The surplus of Rs. 107.13 Lakhs shall be retained in the regulatory surplus account of KDHP and adjusted against future revenue gaps, subject to imputation of notional interest as per KSERC practice.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-

Secretary